

CHAPTER :3

MOTIVATION AND LEADERSHIP

Concept of Motivation

Incentives

Theories of Motivation:

Need hierarchy,

Dual Factoral,

Expectancy and Achievement theories.

Leadership styles:

Participative management

Management by Objectives

management by Exception

Learning Organizations

MOTIVATION

It is the important management tool to harmonize and achieve goals of individuals and organizations.

It induces people for * **Higher productivity, Efficient resource utilization and absenteeism & turnover reduction**

So it is a desire to move towards a goal. It accomplishing things through the efforts of other.

“ Motivation is to do things which satisfy drives and desires and induce the subordinates to act in a desired manner” By Koontz and Weitrich



MOTIVATION

From the definitions, it is clear that motivation has two aspects:

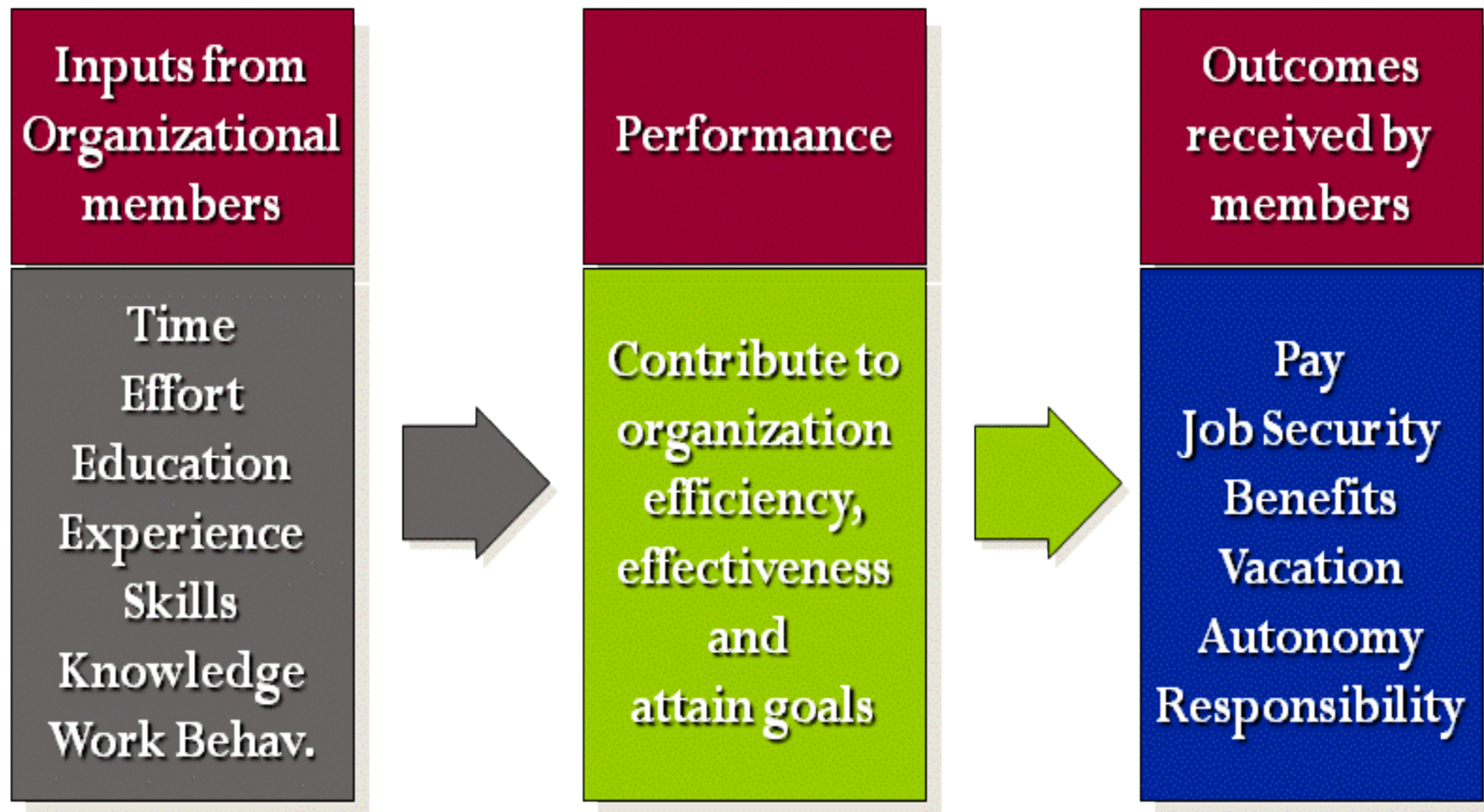
1. The knowledge of human needs.
2. To inspire the employees to their best towards the goals of the organization. The employers use the finding of the study of motivation in making their employees' work more and better in the accomplishment of the organization's objectives through satisfaction of the employee' needs.

Job Performance= f (ability * **motivation** * organizational support)



MOTIVATION

Motivation Equation



IMPORTANCE OF MOTIVATION

1. Understand Behavior
2. Productivity Improvement
3. Quality Enhancement
4. Employee Retention
5. Creativity Promotion
6. Employee Commitment



MODEL OF MOTIVATION

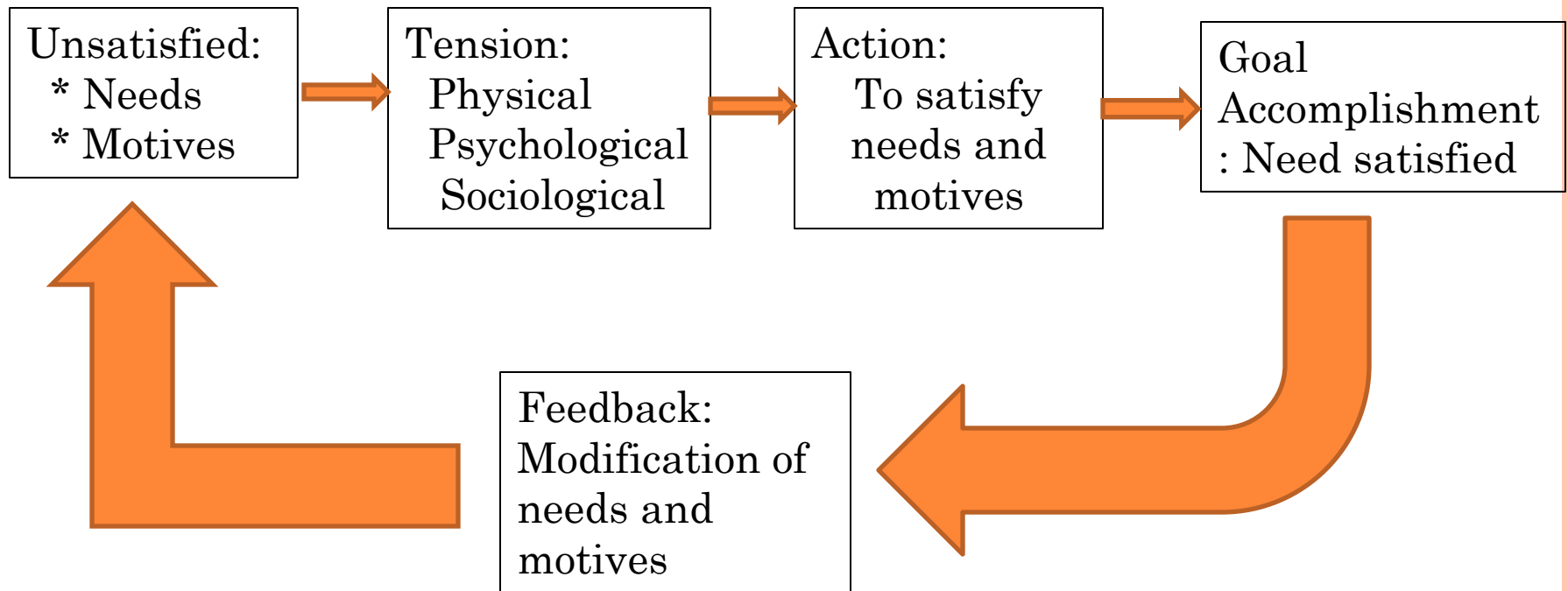


FIGURE: A MODEL OF MOTIVATION



WHAT MOTIVATES PEOPLE

External Rewards

- Salary
- Working conditions
- Benefits
- Environment



Internal Rewards

- Achievement
- Responsibility
- Recognition
- Feedback
- Learning and growth



WHAT MOTIVATES PEOPLE

- **Achievement**
 - Responsibility
 - Recognition
 - Feedback
 - Learning and growth
- Recognize achievements through programs that showcase performers.



WHAT MOTIVATES PEOPLE

- Achievement
- **Responsibility**
- Recognition
- Feedback
- Learning and growth
- Have volunteer programs and other programs that enable employees to showcase their responsibility towards each other and the society at large.



WHAT MOTIVATES PEOPLE

- Achievement
- Responsibility
- **Recognition**
 - Recognize winners through awards like Service Quality Awards, Best Operations Awards, Best Trainer Awards, etc.
- Feedback
- Learning and growth



WHAT MOTIVATES PEOPLE

- Achievement
 - Responsibility
 - Recognition
 - **Feedback**
 - Learning and growth
- Follow a system of feedback and performance appraisal i.e the 360° system in which both the boss and subordinate participate.



WHAT MOTIVATES PEOPLE

- Achievement
- Responsibility
- Recognition
- Feedback
- **Learning and growth**
 - Give a lot of importance to training and development and have various training academies to cater to various sections of employees.
 - Analyze training needs to recognize competency gaps and impart knowledge through customized training programs.



WHAT MOTIVATES PEOPLE

In addition to the external and internal awards, have:

- Employee engagement
- Challenging job profiles
- Keep them self-motivated
- Good projects
- Job rotation
- Job security / stability
- Good team, co-workers, bosses



ATTITUDE MOTIVATION, GROUP MOTIVATION AND EXECUTIVE MOTIVATION

Attitude or self motivation: Being self-motivated means being ready for driven, focused discussion and behavior. It also means being sharp and smart enough not to be manipulated and to be open to positive learning. Being in this state of mind is the challenge!

Causes of decrease in self-motivation.

1. Monotonous work.
2. Driven by boss.
3. Bad physical condition.
4. Does not get along with associates.
5. Financial problem.



ATTITUDE MOTIVATION, GROUP MOTIVATION AND EXECUTIVE MOTIVATION

Effects of decrease in self-motivation.

1. Unwilling to work.
2. Creates sympathy.
3. Inferiority complex.

Solutions to decrease in self-motivation.

1. Making the job more interesting.
2. Thinking constructively.
3. Making the best possible use of one's strong points and not dwelling on weakness.
4. Adopting oneself to the situation.
5. Acquiring the sensible and worthwhile principle of life.



ATTITUDE MOTIVATION, GROUP MOTIVATION AND EXECUTIVE MOTIVATION

Necessities of Group Motivation

- Fairness
- Truthfulness
- Honesty
- Loyalty
- Stability
- Tolerance
- Ability to assume responsibility and co-operation
- Constructive criticism
- Compromise when necessary
- Orderliness in mind and action
- A sense of humor



ATTITUDE MOTIVATION, GROUP MOTIVATION AND EXECUTIVE MOTIVATION

Executive Motivation

- Greater degree of the need for achievement.
- Concerned more about actualization, esteem and social needs.

Techniques

- They are doing something that they call their own.
- They do tasks they have set for themselves.
- They can see what they have done.
- They feel that their job is important.
- They are secure.
- Challenge in work.
- Belief in the value of the work.



ATTITUDE MOTIVATION, GROUP MOTIVATION AND EXECUTIVE MOTIVATION

Reasons for low executive motivation.

- Unsatisfactory bosses.
- Advancement is limited.
- Poor pay.
- Security threatened.



INCENTIVES

Anything that attracts a worker's attention and stimulus his work.

- It involves rewards, both monetary and non-monetary (prizes, tour package etc.)
- Incentive scheme is a plan/program to motivate individual/group.
- Bonuses and promotions are good examples of the type of incentives that are used for motivation.



INCENTIVES

Features:

1. Monetary / Non Monetary or Mixed
2. Timing and frequency of Incentives (For Success)
3. Proper Communication to employees
4. Feedback

Classification:

1. Direct Compensation
Salary/Wage, Overtime, Bonus, Holiday, Profit Sharing
2. Indirect Compensation
Insurance, Pension, Provident Fund



THEORIES OF MOTIVATION

- Need Hierarchy
- Dual Factor Theory (Herzberg's Hygiene Maintenance Theory)
- Vroom's Expectancy/ Valency Theory
- MacClelland's Theory of Achievement



HUMAN NEEDS

Expectation of the worker:

1. Certain goals to be fulfilled.
2. Right to choose a specific job.
3. Responsibility to fulfill his reasonable goals.

Understanding human behavior:

1. Understand the behavior.
2. Integrate the interests and needs of the employers with the objectives of the organization.
3. Un co-operative, indifferent, unfriendly.
4. Have full knowledge of human behavior.
5. Know what satisfies the employee.
6. Co-operative working environment.



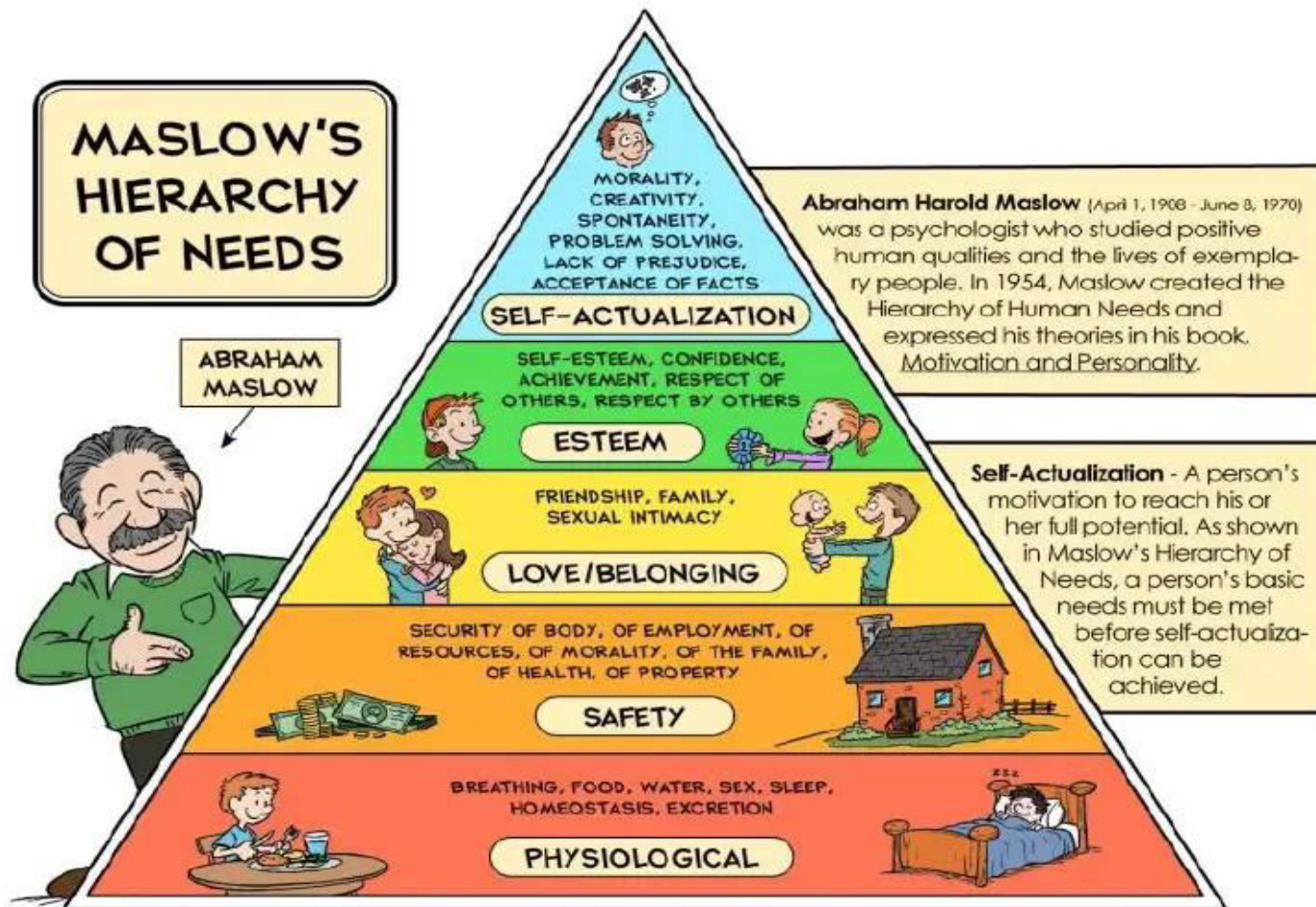
I. MASLOW'S HIERARCHY OF NEEDS

Maslow advanced three important propositions about human behavior.

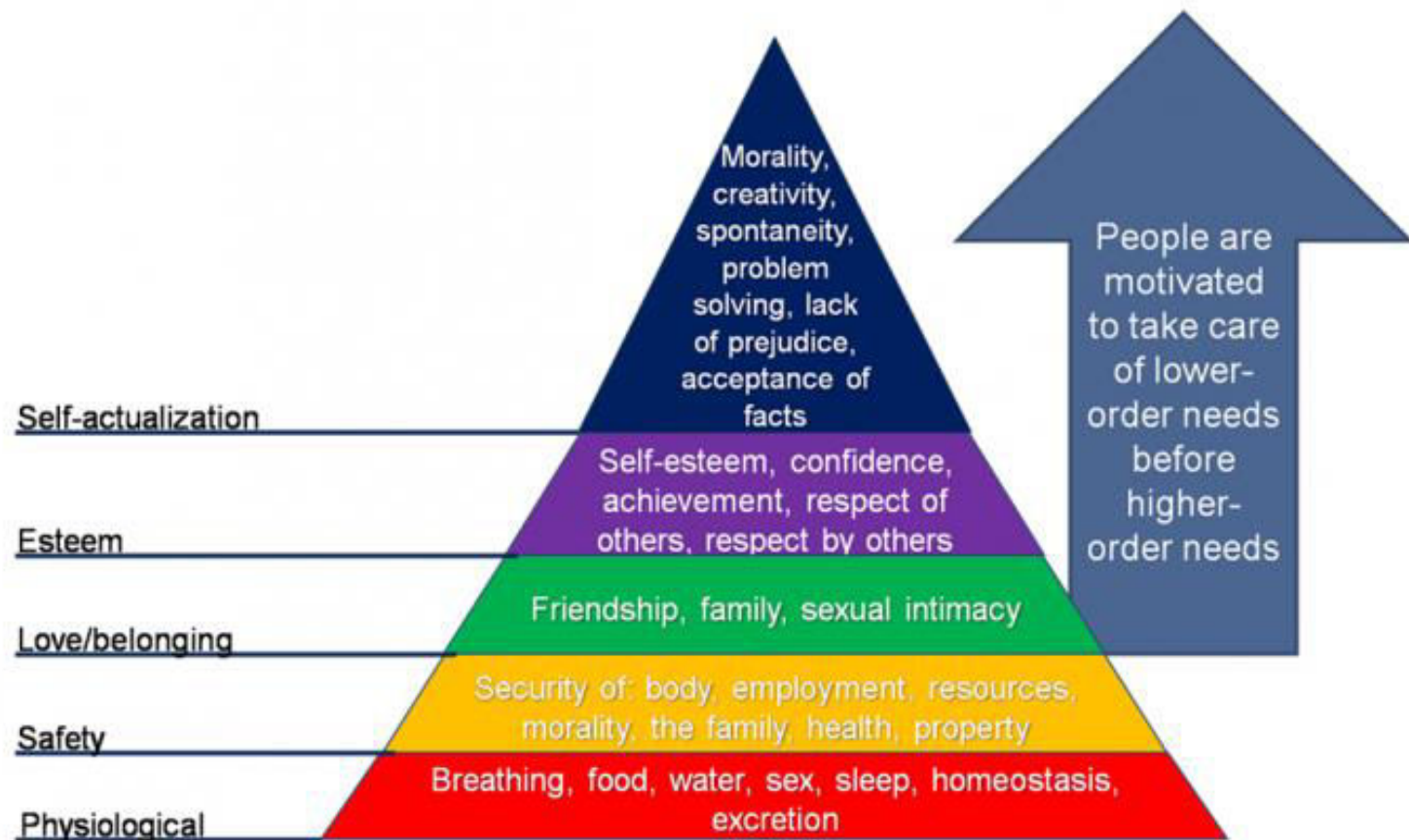
1. ***Men are wanting being:*** Their needs are unlimited and continuous. As soon as one need is satisfied, another appears in its place. The process is unending. It continues from birth to death. It keeps man to work continuously.
2. ***Fresh needs can motivate persons to work:*** A satisfied need is not a motivator of behavior, only the needs which are not satisfied are capable of motivating individuals.
3. ***Man's needs have a hierarchy of importance:*** According to Maslow man's needs are arranged in a series of levels. He classified the needs into five ascending levels, in which each level must be satisfied before going on to the next. The lower level needs have priority over higher level needs.



I. MASLOW'S HIERARCHY OF NEEDS



I. MASLOW'S HIERARCHY OF NEEDS



Maslow's Hierarchy Of Needs

I. MASLOW'S HIERARCHY OF NEEDS

Needs can be broadly classified into two categories as follows:

1. **Primary needs:**

- i. *Physiological (basic):* Satisfying basic needs for food, shelter, clothing, water, air, sleep etc. Salary satisfies.
- ii. *Safety:* Safety from physical harm. Protection against deprivation, danger, threat etc. Stability: PF, Pension etc.

2. **Secondary needs:**

- i. *Social:* Desire to be accepted, liked and loved. Friendship.
- ii. *Ego/esteem:* Recognition and need for self-respect, status, independence etc. Position, Title.
- iii. *Self-actualization:* Needs of achievement, growth, self-development, self-advancement, creativity, challenging jobs. Challenging jobs.



II. DUAL FACTOR THEORY (HERZBERG THEORY)

Focuses on outcomes that can lead to high motivation, job satisfaction, & those that can prevent dissatisfaction.

- **Motivator needs:** related to nature of the work and how challenging it is.
 - Achievement, Recognition, Growth, responsibility, interesting work.
- **Hygiene needs:** relate to the physical & psychological context of the work.
 - Refers to a good work environment, pay, job security.
 - When hygiene needs not met, workers are dissatisfied. Note: when met, they will NOT lead to higher motivation, just will prevent low motivation.



II. DUAL FACTOR THEORY (HERZBERG THEORY)

- Not all job factor motivate employees. An individual attitude toward job determines satisfaction.
- The absence of hygiene factors causes dissatisfaction. Its presence maintains satisfaction.
- The presence of motivate factors causes job satisfaction but its absence does not lead to job dissatisfaction.

Hygiene vs. Motivators

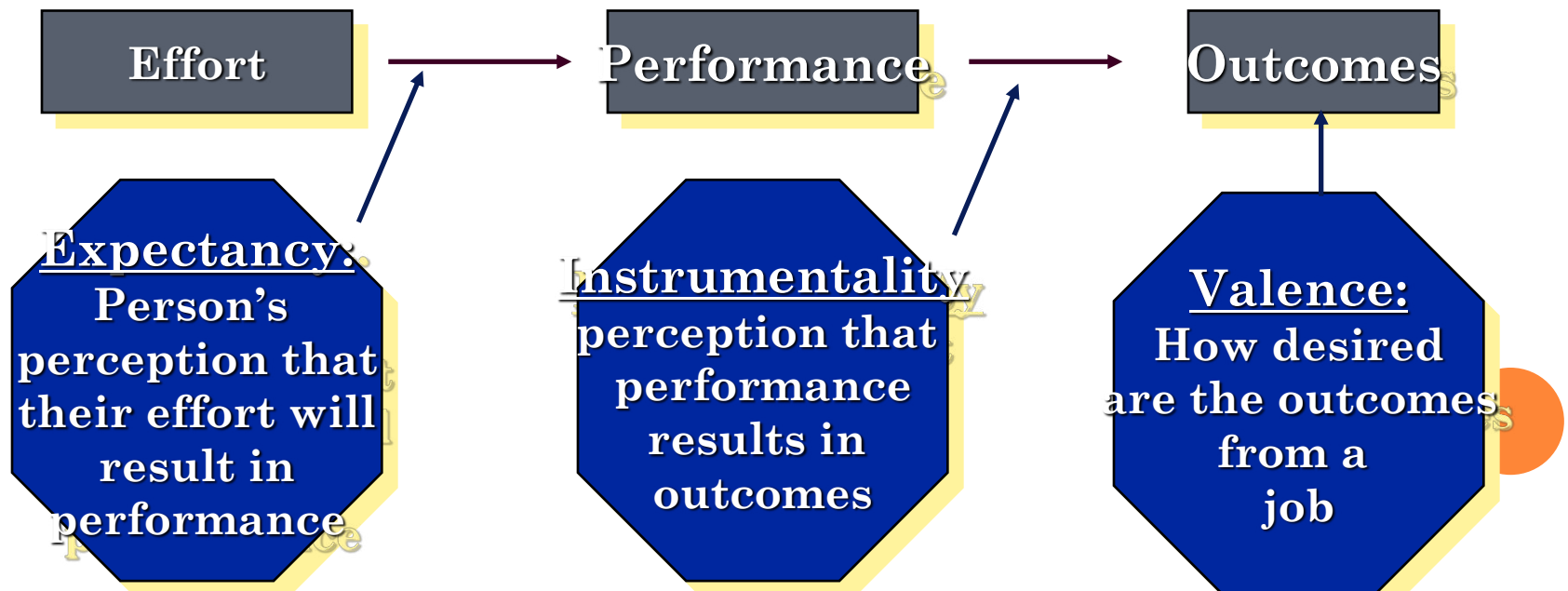
Hygiene	Motivators
• Quality of supervision • Rate of pay • Company policies • Working conditions • Relations with others • Job security	• Career Advancement • Personal growth • Recognition • Responsibility • Achievement
Lack of these results in dissatisfaction	These result in satisfaction



III. VROOM'S EXPECTANCY/ VALENCY THEORY

Developed by Victor Vroom and is a very popular theory of work motivation.

- Vroom suggests that motivation will be high when workers feel:
 - High levels of effort lead to high performance.
 - High performance will lead to the attainment of desire outcomes.
 - Outcomes (performance) lead to the rewards.
- Consists of three areas:
 - *Expectancy, Instrumentality, & Valence.*



III. VROOM'S EXPECTANCY/ VALENCY THEORY

- **Expectancy** is the perception that effort (input) will result in a level of performance.
 - You will work hard if it leads to high performance.
 - *You would be less willing to work hard if you knew that the best you would get on a paper was a D grade regardless of how hard you tried.*
- **Instrumentality:** Performance leads to outcomes.
 - Workers are only motivated if they think performance leads to an outcome.
 - *Managers should link performance to outcomes.*
- **Valence:** How desirable each outcome is to a person.
 - *Managers should determine the outcomes workers want most. Outcomes should link with rewards like money, promotion, grade, learning etc.*



III. VROOM'S EXPECTANCY/ VALENCY THEORY

- *According to the Expectancy Theory, high motivation results from high levels of Expectancy, Instrumentality, & Valence.*
 - If just one *value is low, motivation will be low.*
 - This means that even if desired outcomes are closely link to performance, the worker must feel the task is possible to achieve for high motivation to result.
 - Managers need to consider this relationship to build a high performance firm.



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- *David McClelland's acquired needs theory recognizes that everyone prioritizes needs differently. McClelland and colleagues identifies three specific needs:*
 - Need for Achievement
 - Need for Power
 - Need for Affiliation
- Emphasized the Need for Achievement, although they investigated all three needs



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Strong need for achievement people
 - Take responsibility for results of behavior
 - Willing to take calculated risks
 - Set moderate achievement goals
 - Prefer to set performance standards for themselves
 - Prefer nonroutine tasks to routine assignments
 - Welcome feedback about how well they are doing



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Acquire the Need for Achievement through socialization to cultural values
- Presence of Need for Achievement themes in folklore, mythology, art
- Need for Achievement societies had high levels of economic development



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Strong Need for Power people
 - Focuses on "controlling the means of influencing the behavior of another person"
 - Having strong effects on other people
 - Means of influence: anything available to the person to control the behavior of another
 - Actively searches for means of influence

Example: use superior-subordinate relationship or external rewards to control the behavior of another



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Two ways of expressing the Need for Power
 - Dominance, physical aggression, exploitation
 - View situations from a win-lose perspective
 - Must win and the other party must lose
 - Did not feel such power behavior resulted in the type of leadership required by organizations



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Two ways of expressing the Need for Power (cont.)
 - Persuasion and interpersonal influence
 - Tries to arouse confidence in those he or she wants to influence
 - Clarifies group's goals and persuades members to achieve those goals
 - Emphasizes group members' ability to reach goals



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Two ways of expressing the Need for Power (cont.)
 - Tries to develop a competence belief in group members
 - McClelland felt this type of power behavior characterized effective leaders in organizations



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- **Strong Need for Affiliation** people
 - Focuses on "establishing, maintaining, and restoring positive affective relations with others"
 - Want close, warm interpersonal relationships
 - Seek the approval of others, especially those about whom they care
 - Like other people, want other people to like them, and want to be in the company of others



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Need for achievement and behavior
 - Money: important to both high and low achievers, but for different reasons
 - High achiever wants concrete feedback about performance
 - Making a profit, or receiving a bonus, is a statement about success or failure
 - Symbol of success and feedback about job performance



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Need for achievement and behavior (cont.)
 - High achiever wants a challenging job and responsibility for work
 - Want to feel successful at doing something over which they have control



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Need for achievement and behavior (cont.)
 - Low achiever views monetary reward as an end in itself
 - Get increased performance from low Need for Achievement person by rewarding with money



IV. McCLELLAND'S THEORY OF ACHIEVEMENT

- Managers and executives usually have a stronger Need for Achievement than people in other occupations
- Evidence points to strong Need for Achievement as an entrepreneur characteristic
- Nature of Need for Achievement behavior fits well with such role demands



LEADERSHIP

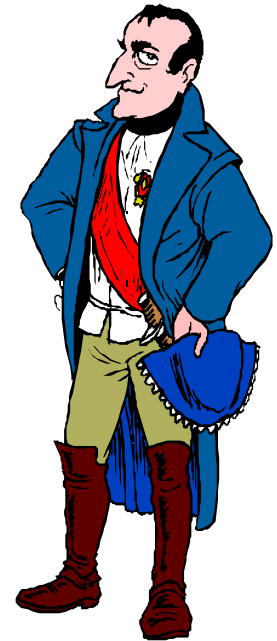
What is leadership?

Leading people

Influencing people

Commanding people

Guiding people



LEADERSHIP

- It is the effort to influence the behavior of others in order to accomplish organizations/personal goals.
- It is the vital for the survival and success of all organizations.
- Leader must be visionary, proactive, persistent, purposeful, people oriented, technology oriented and socially conscious.
- **Functions:**
 1. Goal determination 2.Environmental Adaptation
 3. Task focus 4. People focus 5. Representation
 6. Define organization climate



LEADERSHIP-CHARACTERISTICS

1. Influence Process

Influence the behaviors of followers through

- Power
- Reason (use of facts and data)
- Assertiveness (use of direct or forceful approach)
- Friendliness
- Bargaining
- Inspiration
- Motivation

2. Unidirectional Authority

3. Goal directed

4. Continuous Process

5. Three Elements: a) Leader b) Follower c) Situation



QUALITIES OF GOOD LEADER

Guiding vision: *Effective leaders know what they want to do, and have the strength of character to pursue their objectives in the face of opposition and in spite of failures. The effective leader establishes achievable goals.*

Passion: *Effective leaders believe passionately in their goals. They have a positive outlook on who they are, and they love what they do.*

Integrity: *Because they know who they are, effective leaders are also aware of their weaknesses. They only make promises they can follow through on.*



QUALITIES OF GOOD LEADER

Honesty: *Leaders convey an aura of honesty in both their professional and their personal lives.*

Trust: *Effective leaders earn the trust of their followers and act on behalf of their followers.*

Curiosity: *Leaders are learners. They wonder about every aspect of their charge. They find out what they need to know in order to pursue their goals.*

Risk: *Effective leaders take calculated risks when necessary to achieve their objectives.*



QUALITIES OF GOOD LEADER

Dedication: *The effective leader is dedicated to his or her charge, and will work assiduously on behalf of those following.*

Charisma: *This may be the one attribute that is the most difficult to cultivate. It conveys maturity, respect for your followers, compassion, a fine sense of humor, and a love of humanity. The result is that leaders have the capability to motivate people to excel.*

Listening: *Leaders Listen! This is the most important attribute of all, listen to your followers.*



LEADERSHIP STYLE

- Autocratic, Democratic and Free Rein
- Management Grid (Blake and Mouton)
- Four Systems Style (Rensis Likert)
- Situational Style



I. AUTOCRATIC, DEMOCRATIC AND FREE REIN

○ Autocratic

- *A leadership style where the leader makes all decisions independently or without consulting with others.*
- *Thinks that he is only the competent and capable individual.*
- *When decision must be made & acted on quickly and without questions*
- **Advantages:** good in certain circumstances, such as urgent tasks or military actions
- **Disadvantages:** poor decisions, poor level of employee motivation

AUTOCRATIC, DEMOCRATIC AND FREE REIN

○ Democratic

- *A leadership style where a leader encourages employee participation in decision-making*
- *Co-operation in attainment of goals.*
- *Delegate as much responsibility as their experience & knowledge will permit.*
- *Takes all the decisions and accepts full responsibility.*
- *persuasive or consultative*
- **Advantages:** better decisions, employee motivation
- **Disadvantages:** delayed decision, long consultation

AUTOCRATIC, DEMOCRATIC AND FREE REIN

○ Free Rein

- *A leadership style where employees are encouraged to make their own decisions within limits.*
- *Expects his sub-ordinates to assume responsibility for their own motivation guidance and control.*
- *Discipline and control are not enforced.*
- *Managers give employees almost total authority in all matters.*
- **Advantages:** more freedom for employees
- **Disadvantages:** few guidelines, little incentive, poor motivation, maybe a mess



AUTOCRATIC, DEMOCRATIC AND FREE REIN

	Autocratic Leadership	Democratic Leadership	Free-Rein Leadership
Concentration of Power	With Manager	Shared between Manager and Employees	With Employees — Minimal Supervision
Decision Making	By Manager	By Manager and Employees	By Employees
Communication Flow	From Top Down	Two Way	Widespread and as Needed

SERVANT LEADERSHIP

- A leadership style where the leader's main goal is to serve others.
- Focuses on the growth and well-being of team members and the communities to which they belong.
- Emphasizes listening, empathy, and stewardship.

Advantages:

- Builds trust and strong relationships.
- Enhances employee engagement and loyalty.

Disadvantages:

- May slow down decision-making.
- Not always effective in high-pressure, results-driven environments.



TRANSFORMATIONAL LEADERSHIP

- A leadership style that inspires and motivates employees to achieve exceptional outcomes.
- Focuses on vision, change, and fostering innovation.
- Encourages personal and professional growth among team members.

Advantages:

- Drives innovation and organizational change.
- Creates a positive and motivating work culture.

Disadvantages:

- Risk of burnout for both leaders and team members.
- Requires a high level of charisma and energy, which may not suit all leaders.



CHARACTERISTICS OF A LEARNING ORGANIZATION IN THE ICT INDUSTRY

Continuous Learning Culture

- Emphasizes the importance of lifelong learning for employees.
- Provides access to training programs, certifications, and e-learning platforms to keep up with rapid technological changes.

Knowledge Sharing

- Promotes open communication and collaboration.
- Encourages the use of knowledge management systems and collaboration tools to facilitate the sharing of best practices and innovations.

Adaptability and Flexibility

- Maintains agility to respond to technological advancements and market demands.
- Implements iterative processes like Agile or DevOps to foster continuous improvement.



CHARACTERISTICS OF A LEARNING ORGANIZATION IN THE ICT INDUSTRY

Focus on Innovation

- Encourages creativity and experimentation.
- Allocates resources for research and development to stay competitive in the fast-evolving ICT landscape.

Leadership Support

- Leaders act as mentors and facilitators of learning.
- Promote an environment that values curiosity and supports risk-taking for learning purposes.

Integration of Technology

- Leverages advanced ICT tools (AI, analytics, cloud computing) to improve learning processes and decision-making.
- Uses technology for simulations, real-time feedback, and virtual learning environments.

Performance Measurement and Feedback

- Implements systems to assess learning outcomes and identify skill gaps.
- Encourages regular feedback loops to improve individual and organizational performance.



CHARACTERISTICS OF A LEARNING ORGANIZATION IN THE ICT INDUSTRY

Employee Empowerment

- Empowers employees to take ownership of their learning journeys.
- Supports self-directed learning initiatives and innovation-driven roles.

Cross-Functional Collaboration

- Breaks down silos between departments to foster interdisciplinary learning and problem-solving.
- Uses cross-functional teams to encourage diverse perspectives and skill-sharing.

Alignment with Strategic Goals

- Ensures learning initiatives align with the organization's vision, mission, and technological strategy.
- Uses learning as a tool to drive competitive advantage and market leadership.



CHALLENGES FOR MOTIVATING AND LEADING TECHNICAL WORKFORCE

Diverse Skill Sets and Expertise

- Technical teams often consist of specialists with varying skills and expertise, which can make collaboration and alignment difficult.

Rapid Technological Changes

- Keeping the workforce updated with the latest tools and technologies is challenging in fast-evolving industries.

High Expectations for Autonomy

- Technical professionals often prefer autonomy and resist micromanagement, making leadership tricky.



CHALLENGES FOR MOTIVATING AND LEADING TECHNICAL WORKFORCE

Limited Communication Skills

- Some technical staff may excel at technical work but lack soft skills, creating barriers to effective collaboration and teamwork.

Retention of Top Talent

- Skilled professionals are in high demand, leading to challenges in retaining top talent due to competition and burnout.

Balancing Creativity with Deadlines

- Encouraging innovation while meeting strict project timelines can create tension.

Resistance to Organizational Change

- Technical teams may resist changes in processes, tools, or management styles, especially if they perceive them as unnecessary or disruptive.



STRATEGIES FOR MOTIVATING AND LEADING TECHNICAL WORKFORCE

Foster a Collaborative Environment

- Promote cross-functional teams to encourage collaboration and knowledge sharing.
- Use team-building exercises and tools like Agile or Scrum to align team efforts.

Invest in Training and Development

- Provide continuous learning opportunities through workshops, online courses, and certifications to help employees stay updated.
- Offer mentorship programs to enhance both technical and leadership skills.

Empower with Autonomy

- Allow employees to make decisions in their areas of expertise.
- Foster trust by avoiding micromanagement while providing guidance when needed.



STRATEGIES FOR MOTIVATING AND LEADING TECHNICAL WORKFORCE

Encourage Innovation and Creativity

- Create a safe space for experimentation and accept the possibility of failure.
- Allocate time and resources for employees to work on innovative side projects (e.g., Google's "20% time").

Provide Clear Goals and Feedback

- Use SMART (Specific, Measurable, Achievable, Relevant, Time-bound) goals to clarify expectations.
- Offer regular feedback sessions to acknowledge achievements and identify areas for growth.

Recognize and Reward Contributions

- Implement incentive programs such as bonuses, promotions, and awards for exceptional work.
- Celebrate team successes publicly to boost morale and motivation.



STRATEGIES FOR MOTIVATING AND LEADING TECHNICAL WORKFORCE

Improve Communication

- Bridge the gap between technical and non-technical team members by using clear and concise communication.
- Use visual aids, collaborative tools, and regular check-ins to enhance understanding.

Address Work-Life Balance

- Provide flexible working hours and remote work options where feasible.
- Offer wellness programs and encourage taking breaks to reduce burnout.

Lead by Example

- Demonstrate technical competence to gain the respect of the workforce.
- Display a commitment to learning and adaptability to inspire the team.

Align Work with Purpose

- Connect employees' tasks to the organization's mission and vision to instill a sense of purpose.
- Highlight how their work contributes to the bigger picture and drives impact.



Thank You